

INDEPENDENT CREDIT RATING NOTE

M M Forgings Ltd | NSE: MMFL · BSE: 522241 · Consolidated · Actual public data

Model rating (as built)	CARE-comparable basis	CARE rating (30-Jun-2026)	Analyst view	Date
BBB (gross debt)	A- (after bridge)	CARE A; Stable / CARE A1	A defensible; limited headroom	18-Sep-2026

Prepared by Gaurav Waghmode as an independent educational exercise using public data. Not an official credit rating or investment advice.

1. Summary

M M Forgings (MMF) is a 50-year-old closed-die forging company with 130,000 MTPA capacity, ₹1,590 Cr of FY26 revenue and a stable 17.6–19.4% operating margin. CARE Ratings reaffirmed it at CARE A; Stable in June 2026. I rebuilt the rating from public financials using a transparent 18-factor scorecard.

Finding: on a conservative basis (gross debt, blended FY26/FY27E metrics) the scorecard gives BBB — three notches below CARE. A step-by-step bridge shows how the gap closes: netting ₹225 Cr of liquid investments, adopting CARE's narrower debt definition, rating on FY27E alone and using CARE's expected accruals together lift the score to 7.08 (A-). CARE's A is therefore supportable, but it leans on a forward expectation that accruals rise from ₹202 Cr in FY26 to ~₹290 Cr. If the new presses do not deliver that ramp-up, the rating has little room.

Key metric	FY24	FY25	FY26	FY27E	Trend
Debt / PBILDT	3.18x	4.00x	4.41x	3.80x	Weakened; above CARE's 3.0x upgrade level
Overall gearing	1.18x	1.33x	1.27x	1.12x	Within 1.5x downgrade trigger
Interest coverage	6.98x	4.93x	3.59x	3.95x	Halved since FY24
ROCE	14.7%	11.9%	9.0%	9.3%	CWIP of ₹335 Cr not yet earning
PBILDT margin	18.7%	19.4%	17.6%	18.0%	Range-bound

2. Business profile

MMF makes forgings of 0.1–120 kg in carbon, alloy, micro-alloy and stainless steel, mostly semi- or fully machined, from plants in Tamil Nadu and a machining unit near Lucknow. The strengths CARE highlights are real and visible in the numbers: long client relationships, in-house die design and machining, and a sizeable export book (about 35% of FY26 sales, with Europe at 20% and the US at 10%). The weaknesses are equally structural: around three-quarters of FY25 sales went to commercial vehicles, the most cyclical auto segment, and the top-10 customers still account for ~62% of revenue. A 16,500-tonne press due in FY27 should extend the part-weight range beyond 170 kg and open heavier, higher-value work.

3. Financial analysis

₹ crore	FY22	FY23	FY24	FY25	FY26	FY27E
Revenue	1,140	1,462	1,563	1,525	1,590	1,717
PBILDT	209	273	293	296	280	309
Interest	28	30	42	60	78	78
PAT	91	128	135	123	99	97
Cash accruals	159	207	218	216	202	215
Gross debt	685	756	931	1,185	1,235	1,175
Net worth	559	673	789	893	975	1,052
CFO	150	160	149	182	228	—
Free cash flow	24	-27	-83	-176	46	—
Cash conversion cycle (days)	118	123	158	178	164	—

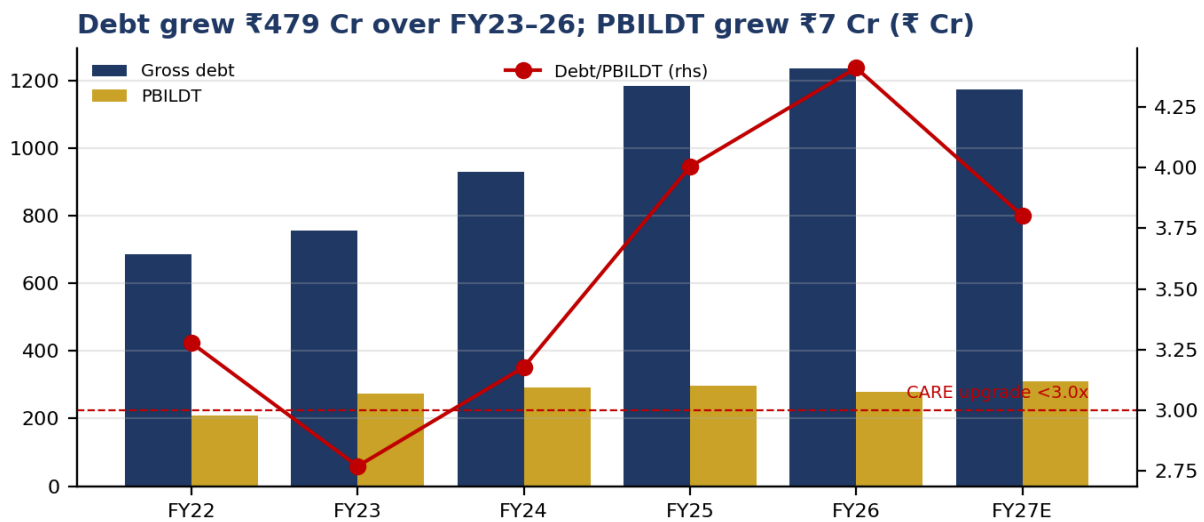


Figure 1 — Gross debt, PBILDT and debt/PBILDT (FY27E = analyst base case)

The capex cycle is the credit story. CARE reports ~₹850 Cr of capex over three years, ~₹610 Cr of it debt-funded. Gross debt rose by ₹479 Cr between FY23 and FY26 while PBILDT rose by only ₹7 Cr, so leverage and coverage weakened even though the underlying business held steady. Cumulative free cash flow over FY23–FY26 was negative ₹240 Cr. Capital-work-in-progress of ₹335 Cr (about 23% of fixed assets) explains much of the fall in ROCE: those assets carry debt and interest but do not yet produce revenue.

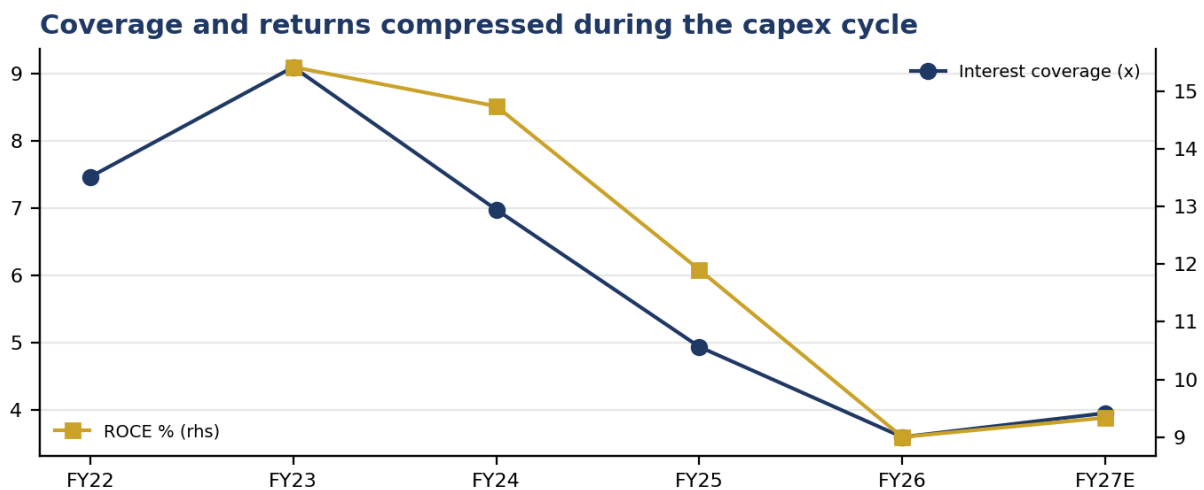


Figure 2 — Interest coverage and ROCE

Working capital lengthened. The cash conversion cycle widened from 118 days in FY22 to 164 in FY26, driven by debtor days rising from 50 to 96 — consistent with a larger export mix on longer terms, but worth monitoring. Operating cash flow improved to 81% of PBILDT in FY26, the best conversion in five years.

Recent trend. Margins troughed at ~17% in Q2–Q3 FY26 as US tariffs cut higher-margin machined volumes, then recovered to ~19% in Q4 FY26 with Q1 FY27 sales up 16% year on year. Q1 FY27 PAT of ₹90 Cr is flattered by ₹63 Cr of other income against a run-rate of ₹4–8 Cr and a ~1% tax charge; I treat it as non-recurring and exclude it from the base case.

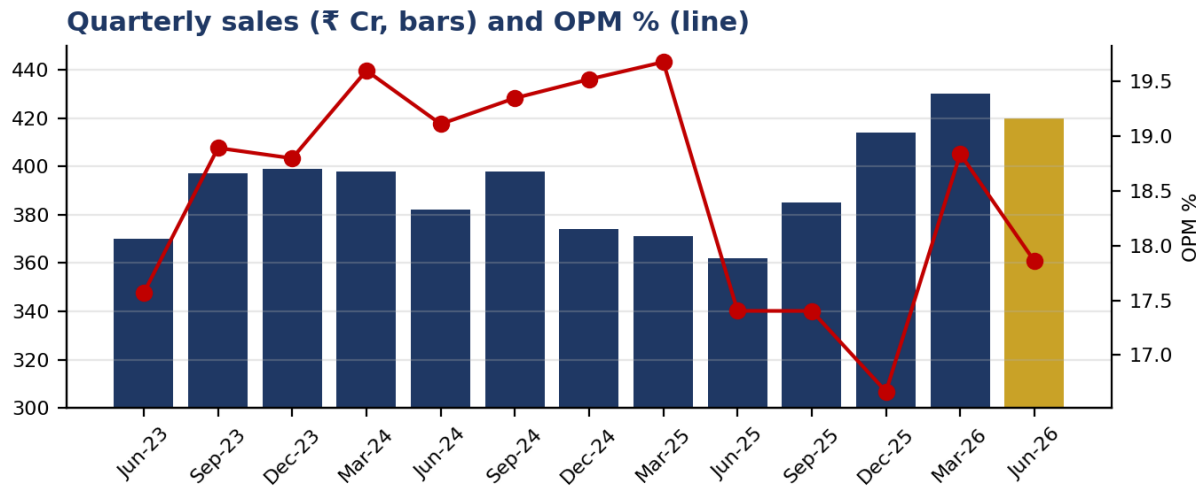


Figure 3 — Quarterly sales and operating margin, Jun-23 to Jun-26

4. Debt-service capacity

CARE discloses term-debt repayments of ₹150–170 Cr a year for the next three years. My FY27E base case — 8% revenue growth and an 18% margin — gives cash accruals of ₹215 Cr, covering repayment 1.34x. Using all interest (including working-capital interest), the DSCR is 1.23x.

Scenario	PBILDT	Accruals	Repayment	DSCR	Accruals + liquidity / repayment
FY26 actual, mid repayment	280	193	160	1.14x	2.61x
FY27E base case	309	215	160	1.23x	2.75x
FY27E: PBILDT –15% (CV downturn)	263	180	160	1.08x	2.53x
FY27E: PBILDT –25%, repayment at high end	232	157	170	0.95x	2.24x
FY27E: PBILDT –25%, rates +200 bps, high repayment	232	139	170	0.89x	2.14x

Accruals alone cover repayment only until PBILDT falls about 24% below the base case. Beyond that, the ₹225 Cr of liquid investments carries the debt service — covering repayment more than 2x even in the severest scenario. This liquidity is the main reason a moderately leveraged, cyclical company can sit in the A category, and why CARE lists a significant fall in liquid investments as a downgrade trigger.

5. Rating scorecard and notch bridge

Factor	Weight	Value (blend)	Score
Debt / PBILDT	10%	4.17x	5
Overall gearing	8%	1.21x	6
Interest coverage (PBILDT / interest)	7%	3.73x	8
Cash accruals / term-debt repayment	8%	1.29x	5
ROCE	6%	9.1%	4
PBILDT margin	4%	17.8%	8
Operating scale (revenue ₹ Cr)	4%	1,641	7
Cash conversion (CFO / PBILDT)	3%	81.4%	8
Track record & market position	5%	qualitative	9
Product & geographic diversity	5%	qualitative	8
Customer concentration	5%	qualitative	5
End-market cyclicity	5%	qualitative	4
Raw-material & tariff exposure	5%	qualitative	6
Promoter experience & commitment	5%	qualitative	8

Factor	Weight	Value (blend)	Score
Governance & disclosure	5%	qualitative	7
Liquid investments & cash	5%	qualitative	8
Working-capital headroom	5%	qualitative	7
Access to capital	5%	qualitative	8
Weighted score / grade	100%	fin. 6.04	6.52 → BBB

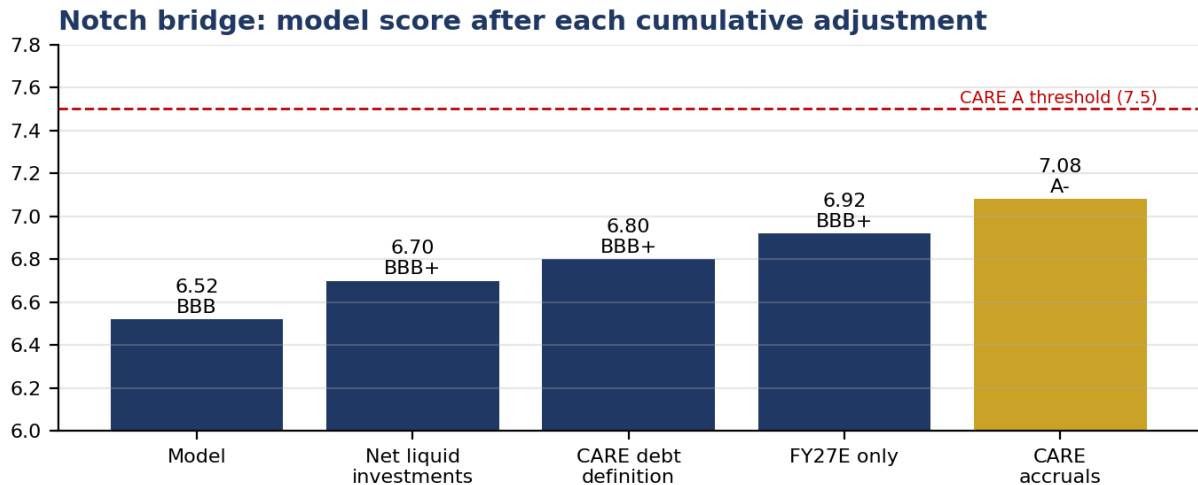


Figure 4 — Score after each cumulative adjustment (python/rating_bridge.py)

The bridge ends at A-, one notch below CARE. I attribute the residual notch to what an outside analyst cannot see: management's detailed projections, lender discussions and the weight CARE gives to a five-decade track record. I would not override the scorecard to force a match — the gap is itself the finding.

6. Reconciliation with CARE's figures

- Revenue, PBILDT, PAT, interest coverage and ROCE reconcile to CARE within 3%.
- Gearing and debt/PBILDT do not reconcile for FY26: CARE's 1.10x gearing and 3.84x debt/PBILDT imply ~₹1,075 Cr of debt, versus ₹1,235 Cr in the reported balance sheet. FY24 and FY25 gearing do reconcile, so the gap is specific to FY26 — most likely a classification difference (such as lease liabilities or acceptances). I keep the higher figure as the conservative base and test CARE's figure in the bridge.
- CARE's text quotes FY26 interest coverage of 3.98x while its own table shows 3.58x; the table matches PBILDT ÷ interest.

7. Key monitorables

CARE trigger	Threshold	FY26	FY27E	Status
Upgrade: gearing below	0.80x	1.27x	1.12x	Not met
Upgrade: debt / PBILDT below	3.00x	4.41x	3.80x	Not met
Upgrade: ROCE above	15%	9.0%	9.3%	Not met
Downgrade: gross gearing above	1.50x	1.27x	1.12x	Not met

- Upside: reaching debt/PBILDT below 3.0x at FY27E PBILDT needs about ₹248 Cr of debt reduction, or PBILDT near ₹390 Cr at current debt — realistic only after FY28 if the new presses ramp up fully.
- Downside: gearing is well inside the 1.5x trigger, so the nearer risks are a CV downturn, a renewed US tariff shock, or liquid investments being used for capex.
- Watch: quarterly PBILDT versus the ~₹77 Cr/quarter needed for the base case, debtor days, CWIP capitalisation and the nature of the Q1 FY27 other income.

Sources and limitations

Financials: Screener.in consolidated data (C-MOTS), accessed 18-Sep-2026. Rating, liquidity, repayment and business details: CARE Ratings press release on M M Forgings Ltd, 30 June 2026. Quarterly results: company filings as summarised by Screener and Business Standard (May 2026). Screener's balance sheet is aggregated, so inventory and receivable levels are not separately available; working-capital analysis uses reported day-counts. FY27E figures are my estimates. Scorecard weights, grids and PDs are illustrative, not calibrated to default data.